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UPDATE

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Global Macro Commentary | Global

October 20: Trade Optimism

More constructive signals for US-China trade; Japan's LDP secures coalition to set up Takaichi as likely new prime minister; US equities rebound further amid earnings optimism; mild reaction to S&P France downgrade; potential US tariffs on Colombia; DXY at 98.586 (+0.2%); US 10y at 3.980 (-2.9bp).

Risk appetite rebounds further on constructive signals for US-China trade discussions, driving a global equity rally.

Developed Markets

- **US rates bull-flatten (30y: -4bp) in a quiet session with thin liquidity as market participants await Friday's September CPI report.** Breakevens tighten ~1bp across the curve as Brent oil prices trade near monthly lows at ~$61. Swap spreads remain well supported despite $7.3bn in new IG issuance. Meanwhile, credit market concerns appear to recede further; US bank credit spreads tighten alongside a further rebound in the KBW Bank Index (+2.2%), though still below levels seen before last week's sell-off.

- **Easing trade and credit concerns drive a 1.1% rally in the S&P 500, fully retracing the sell-off in the wake of the initial US tariff announcement on October 10.** President Trump states that China "has been very respectful" and reiterates intentions to meet with Chinese President Xi at the APEC Summit and "end up with a strong trade deal." Prediction markets now price less than a 10% likelihood of the proposed 100% US tariffs on China being implemented on November 1, in line with our expectations. The move is supported by a positive reaction to large-cap tech earnings, with Communication Services leading the rally (+1.5%).

- **Long-end Japanese rates rally modestly (30y JGB: -0.5bp) after the Liberal Democratic Party (LDP) reaches an agreement to form a coalition with the Japan Innovation Party (Ishin).** The move likely secures LDP leader Takaichi's prospects for becoming the new prime minister after the recent period of uncertainty. However, front-end JGBs sell off (5y: +5bp) in a risk-on rotation as local equities rally sharply (Nikkei: +3.4%), driven by Friday's easing of US-China trade rhetoric and credit market concerns. USD/JPY rises sharply in the Tokyo morning, but retraces in the New York session to close largely unchanged.

- **Long-end European rates rally slightly (30y Bund: -1bp), with the OAT-Bund closing only slightly wider after Friday's surprise S&P downgrade of France.** 30y OATs lag the rally in bunds by only 1bp, suggesting that uncertainties surrounding France's budget were largely priced beforehand. On the other hand, the BTP-Bund spread closes slightly tighter after Italy

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launches its third retail issuance of a new BTP Valore for retail investors with a 7y maturity, attracting ~€5.4bn in orders (for more, see here).

- **The dollar trades mixed but strengthens into the New York afternoon on small moves in G10 FX.** Canada's Business Outlook Survey reveals lackluster sentiment, particularly regarding the labor market, which reinforces expectations for BoC easing. As a result, Canadian rates rally 3-4bp across the curve, outperforming US Treasuries, and USD/CAD rises 0.1%.

- **In Australia, AUD/USD strengthens 0.2% as the US and Australia sign a critical minerals agreement**, with President Trump also confirming support for the Aukus security partnership between Australia, the US, and UK, which was signed under former President Biden and had been under review by the Trump administration. NZD gains 0.4% against USD as New Zealand's 3Q CPI comes in line with expectations at 1.1%, with market participants appearing to reevaluate expectations for further policy easing from RBNZ.

Emerging Markets

- **Chinese rates sell off 2-3bp as local equities rally (CSI 300: +0.5%) on constructive US trade signals and strong 3Q GDP data (4.8% y/y; C: 4.7%).** USD/CNH stabilizes at ~7.1235 as the USD/CNY fixing moves higher for the first time in three sessions (7.0973; P: 7.0949). In Thailand, THB outperforms, gaining 0.8% alongside a rally in gold prices. Thai rates underperform (10y ThaiGBs: +7bp) as the government considers second-phase consumption stimulus in January funded by the current fiscal year budget.

- **Other AxJ currencies appreciate modestly while rates sell off amid positive developments in broader regional trade negotiations.** In Korea, local equities rally (KOSPI: +1.8%) after key lawmakers mention "substantial progress" on US trade talks. KRW gains as much as 0.4% intraday before retracing to finish the Asia session largely unchanged. Korean rates underperform after BoK Governor Rhee says the central bank does not intend to increase liquidity in a way that would ignite the real estate market, with KRW 1y1y rising 5bp, nearly back to early October highs. Meanwhile, Indian rates and INR trade largely stable despite reports of progress on US-India trade talks and unconfirmed RBI intervention.

- **In CEEMEA, rates rally broadly across the region while South Africa outperforms in the FX space.** ZAR strengthens 0.7% against USD as the US Africa envoy signals progress towards the renewal of the AGOA free trade program for African nations. The curve bull-flattens in South Africa (2y: -3bp; 10y: -7bp) and the Czech Republic (2y: -1bp; 10y: -5bp). In Hungary and in Poland, rates rally across the curve by 1-2bp, respectively.

- **In LatAm, Colombia underperforms regional currencies amid heightened trade tensions with the US.** COP weakens 1.3% against USD following President Trump's proposal of 100% tariffs and aid suspension over the weekend, though we note the Colombian administration is already making an effort to negotiate. The Colombian IBR curve underperforms, with long-end yields rising ~9bps in a bear-steepening. Meanwhile, BRL outperforms (USD/BRL: -0.7%) and Brazilian rates bull-flatten mildly as fiscal and monetary policy remains in focus.

Central Bank Monitor

Developed Markets

- **BoJ Board Member Takata** reiterated that "now is a prime opportunity to raise interest rates," and the BoJ should "engage in communication that assumes the price stability target has been almost achieved." His hawkish stance appears to be already priced by market participants, however.
- **ECB Governing Council member Nagel** said that inflation is close to the ECB's target, allowing policymakers to maintain a "wait-and-see attitude."
- **ECB Executive Board member Schnabel** reiterated calls for the euro to play a stronger international role.

Emerging Markets

- **BoK Governor Rhee** told lawmakers that the central bank has not considered a currency swap with the US Treasury, as such arrangements are designed for short-term liquidity support and cannot be used for long-term investment. He reiterated that Korea can raise up to about $20bn annually without disrupting the market. Rhee said the BoK does not intend to increase liquidity in a manner that would ignite the real estate market

Exhibit 1: G4 Rates Closes (5pm NY)

	US			Germany			UK			Japan		
Tenor	20-Oct	1d Δ (bp)	2wk	20-Oct	1d Δ (bp)	2wk	20-Oct	1d Δ (bp)	2wk	20-Oct	1d Δ (bp)	2wk
2y	3.455	(0.2)		1.905	(0.1)		3.849	(2.6)		0.943	3.8	
3y	3.458	(0.8)		1.958	(0.8)		3.830	(2.2)		1.021	3.1	
5y	3.573	(1.9)		2.167	0.1		3.951	(2.1)		1.237	4.8	
7y	3.756	(2.6)		2.309	(0.2)		4.099	(2.5)		1.444	3.8	
10y	3.980	(2.9)		2.576	(0.4)		4.504	(2.6)		1.666	4.2	
20y	4.539	(3.7)		3.062	(0.9)		5.190	(2.5)		2.640	1.1	
30y	4.569	(3.6)		3.163	(1.1)		5.309	(2.6)		3.115	(0.3)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

	US TIPS			10y Real Yields, BEI							
Tenor	20-Oct	1d Δ (bp)	2wk	10y	20-Oct	1d Δ (bp)	2wk	10y	20-Oct	1d Δ (bp)	2wk
5y	1.228	(0.6)		DBRi	0.641	(0.2)		BTPi	1.699	(1.2)	
BEI	2.317	(1.2)		BEI	1.722	0.1		BEI	1.692	(0.1)	
10y	1.710	(2.3)		UKTi	1.572	0.2					
BEI	2.268	(0.6)		BEI	3.000	(2.9)					
30y	2.371	(3.1)		JGBi	0.065	2.8					
BEI	2.200	(0.5)		BEI	1.579	2.0					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	20-Oct	1d Δ (%)	2wk	Spot	20-Oct	1d Δ (%)	2wk	Index	20-Oct	1d Δ (%)	2wk
DXY	98.59	0.2		CNH	7.12	(0.0)		S&P	6735.13	1.1	
EUR	1.164	(0.1)		INR	87.93	(0.0)		Stoxx	5680.93	1.3	
GBP	1.341	(0.2)		THB	32.70	0.1		FTSE	9403.57	0.5	
JPY	150.75	0.1		KRW	1420.40	(0.1)		Nikkei	49185.50	3.4	
CHF	0.793	(0.1)		ZAR	17.23	(0.8)		VIX	18.23	(12.3)	
AUD	0.651	0.2		MXN	18.39	0.1		Gold (S)	4356.30	2.5	
CAD	1.404	0.1		BRL	5.37	(0.7)		WTI (Fut)	57.52	(0.0)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS

Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (10/17)	4.110	0.0	--	EONIA (10/17)	1.928	0.0	--	SONIA (10/17)	3.968	0.0	--	TONAR (10/17)	0.477	0.0	--
10/29/25	3.858	0.5	(25.3)	10/30/25	1.922	0.2	(0.6)	11/06/25	3.933	(0.4)	(3.5)	10/30/25	0.547	0.2	7.0
12/10/25	3.610	1.6	(50.0)	12/18/25	1.886	(0.3)	(4.2)	12/18/25	3.858	(0.7)	(11.0)	12/19/25	0.637	(0.8)	16.0
01/28/26	3.468	1.0	(64.3)	02/05/26	1.865	(0.2)	(6.3)	02/05/26	3.737	0.8	(23.2)	01/23/26	0.686	2.7	20.9
03/18/26	3.333	1.0	(77.7)	03/19/26	1.805	0.1	(12.3)	03/19/26	3.668	(0.9)	(30.1)				
04/29/26	3.253	0.7	(85.8)	04/30/26	1.783	(0.7)	(14.5)	04/30/26	3.572	(0.3)	(39.6)				
06/17/26	3.115	1.6	(99.5)	06/11/26	1.760	0.8	(16.8)	06/18/26	3.539	(1.7)	(43.0)				

Source: Morgan Stanley Research, Bloomberg

The Day Ahead

Developed Markets

- 7:00am BST - **UK September PSNB ex Banking** (MSe: £21.0bn; C: £20.8bn; P: £17.962bn). We expect only a marginally higher monthly deficit versus the OBR's forecast (£20.1bn)
- 8:00am BST - **ECB Chief Economist Lane** will speak in Frankfurt
- 10:35am BST - **ECB Governing Council member Escriva** will speak in Barcelona
- 12:00am BST - **ECB President Lagarde** will speak in Oslo
- 2:30pm BST - **ECB Governing Council member Kocher** will speak in Vienna
- 11:00pm BST - **ECB Governing Council member Nagel** will speak in New York
- 8:30am ET - **Canada September Core CPI, Trim** (C: 3.0%; P: 3.0%)
- 8:30am EST - **US October Philadelphia Fed Non-Manufacturing Activity** (P: -12.3). In September, most indicators in the non-manufacturing survey softened. We expect this deceleration to persist in October while price pressures remain elevated.

Emerging Markets

- Tue 8:00am ET - **Hungary NBH Rates Decision** (MSe: 6.5%; C: 6.5%; P: 6.5%). Despite high-frequency data pointing to weak 3Q25 growth, we continue to expect the NBH to remain on hold as inflation remains above the central bank's tolerance band. We expect the NBH to reiterate a cautious approach. Read more
- 8:00am HKT - **Korea First 20 days of October Exports** (P: 13.5% y/y) & **Imports** (P: 9.9% y/y)
- 4:00pm HKT - **Taiwan September Exports Orders** (MSe: 19.4% y/y; C: 18.7%; P: 19.5%)

Economic Releases

Developed Markets

- **Germany September PPI:** -1.7% y/y (MS:-1.8%; C: -1.5%; P: -2.2%)
- **New Zealand 3Q Non-Tradeable CPI:** 1.1% q/q (C: 1.1%; P: 0.7%)

Emerging Markets

- **China 1-year Loan Prime Rate:** 3.00% (C: 3.00%; P: 3.00%); **5-year Loan Prime Rate:** 3.50% (C: 3.50%; P: 3.50%)
- **China 3Q25 GDP:** 4.8% y/y (MSe: 4.6% y/y; C: 4.7%; P: 5.2%); **September Industrial Production:** 6.5% y/y (MSe: 5.2% y/y; C: 5.0%; P: 5.2%); **September Retail Sales:** 3.0% y/y (MSe: 2.5% y/y; C: 3.0%; P: 3.4%); **September Fixed Asset Investment YTD:** -0.5% y/y (MSe: -0.4% y/y; C: 0.1%; P: 0.5%)
- **Philippines September Balance of Payments:** $82mn (P: $359mn)
- **Hong Kong September Unemployment Rate:** 3.9% (C: 3.7%; P: 3.7%)
- **Poland September PPI:** -1.2% y/y (C: -1.0%; P: -1.3%); **Gross Wages:** 7.5% y/y (C: 7.6%; P: 7.1%) & **Industrial Output:** 7.4% y/y (C: 5.2%; P: 0.7%) &

For more details, please refer to our economists' weekly reports and data previews:

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- Global Rates Strategy: October Index Extensions
- G10 FX Strategy: Back to Neutral DXY Positions
- Cross-Asset Spotlight: Credit in Focus

G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	10/15/2025	11/20/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	100%	100%	200%	10/7/2025	11/11/2025	9/15/2025	10/20/2025
US 10y Future	30.50%	100%	100%	100%	200%	10/14/2025	11/19/2025	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	10/15/2025	11/19/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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Global Stock Ratings Distribution

(as of September 30, 2025)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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